

investment bankers to properly price the public shares, and so on.

Due to the laboriousness of going public, only the largest and most successful companies typically pursue this funding path. They do so once they have matured and want access to the even bigger capital pool provided by the public markets. Furthermore, going public allows them to reward their early, private investors, who after the IPO can sell their shares in the more liquid public markets.

Without access to venture capitalists or the public markets, the preferred method for most startups to raise funding involves family and friends, credit card debt, and a healthy dose of faith. The good news is that the Internet boom has spawned a stream of aspiring entrepreneurs, and regulations are adapting to allow the innovative investor and innovative entrepreneur to unite around new ideas.

A NEW METHOD OF FUNDING STARTUPS

During the financial crisis of 2008, debt markets froze and stock markets crashed, causing major, and in many cases catastrophic, losses for the individual investor. To protect investors from similar experiences in the future, new regulations were put into place. Many of these targeted banks and their involvement in the crisis, which ultimately affected the ability of startups to gain access to the capital markets and other traditional funding methods, including loans and